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General Knowledge

Indian Economy

STUDY NOTES

Basic Concepts of Macroeconomics (Part II)

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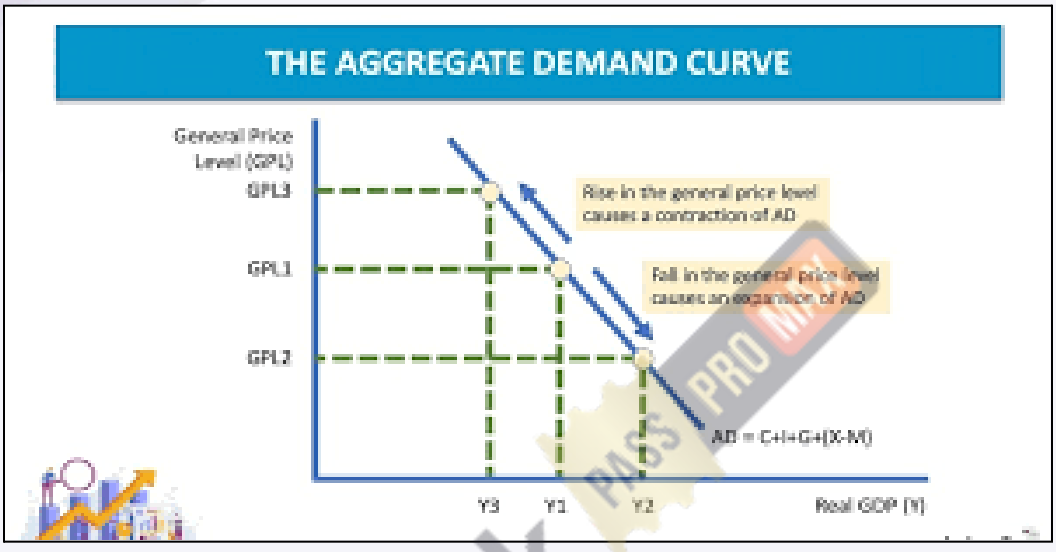
Aggregate Demand and Aggregate Supply

Aggregate Demand (AD)



- Aggregate demand refers to the total quantity of goods and services demanded in an economy at different price levels over a specific period.

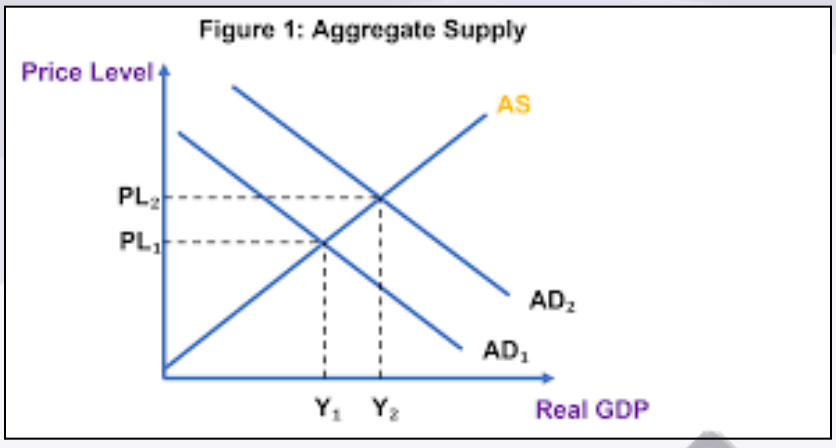
Formula:

AD=C+I+G+(X−M)AD = C + I + G + (X - M)AD=C+I+G+(X−M)

where:

- **C** = Consumption by households
- **I** = Investment by businesses
- **G** = Government spending
- **(X - M)** = Net exports (Exports minus Imports)
- As the price level falls, AD generally increases due to the wealth effect, interest rate effect, and exchange rate effect.

Aggregate Supply (AS)



- Aggregate supply represents the total quantity of goods and services that producers in an economy are willing to supply at different price levels.
- Short-Run AS: In the short run, AS is typically upward-sloping because, as prices rise, firms are willing to produce more due to higher profit potential.
- Long-Run AS: In the long run, AS is vertical at the full-employment level of output, representing the economy's potential output, as output is determined by resources (labour, capital) and technology, not the price level.

Equilibrium

Equilibrium occurs when the Aggregate Demand curve (AD) intersects with the Aggregate Supply curve (AS). This point determines the economy's overall price level and output.
At equilibrium:

- The quantity of goods and services demanded equals the quantity supplied.
- There is no upward or downward pressure on the price level.

Fiscal Policy

Objectives of Fiscal Policy:

- **Stimulate Economic Growth:** By increasing public spending and/or cutting taxes, the government can boost demand in the economy. This is particularly useful during periods

of economic downturn.

- **Reduce Unemployment:** Fiscal policy can reduce unemployment by increasing government spending in sectors that create jobs (e.g., infrastructure, public services).
- **Control Inflation:** In an overheated economy, the government may reduce spending and/or increase taxes to lower demand and control inflation. This helps stabilize the economy

Key Tools of Fiscal Policy:

Government Spending:

- The government spends on various sectors such as infrastructure, education, healthcare, defence, etc.
- Increased government spending can stimulate demand and boost economic activity, while reduced spending can cool down an overheating economy.

Taxation:

- The government collects taxes (e.g., income, corporate, sales) to fund public services and investments.
- Lower taxes increase disposable income and spending, stimulating the economy. Higher taxes can slow down inflation by reducing excess spending.

Borrowing:

- If government spending exceeds its revenue, borrowing is used to cover the deficit.
- Borrowing can fund necessary public investments but may lead to increased debt, which needs careful management.

Government Budget:

A government budget is an **annual financial statement** presenting the **government's proposed revenues** and **spending** for a **financial year.** It outlines the **allocation** of resources, prioritises expenditures, and plans for revenue generation.

Key Terms

- **Receipts**: Money received by the government, including earnings and borrowings.
- **Plan Expenditure**: Expenditures associated with **Five Year Plans**, such as on electricity, irrigation, and rural development.
- **Non-Plan Expenditure**: All other expenditures, including interest payments, pensions, and statutory transfers.

Budget Deficits:

Deficit Type	Definition	Formula	Key Implications
Revenue Deficit	Excess of revenue expenditure over revenue receipts.	Revenue Deficit = Revenue Expenditure - Revenue Receipts	Indicates operational inefficiency and potential dis-savings.
Fiscal Deficit	Total expenditure minus total non-borrowed receipts.	Fiscal Deficit = Total Expenditure - (Revenue Receipts + Non-debt Creating Capital Receipts)	Represents the government's total borrowing requirement.
Primary Deficit	Fiscal deficit excluding interest payments.	Primary Deficit = Fiscal Deficit - Interest Payments	Measures borrowing for current expenses (excluding debt servicing).
Effective Revenue Deficit	Revenue deficit adjusted for grants for capital assets.	Effective Revenue Deficit = Revenue Deficit - Grants for Creation of Capital Assets	Reflects the revenue deficit after considering developmental grants.
Budget Deficit	Total expenditure exceeds total receipts, including borrowings.	Budget Deficit = Total Expenditure - Total Receipts	No longer widely used; reflects an overall shortfall in the budget.
Monetized Deficit	Part of the fiscal deficit is financed by RBI.	Monetized Deficit = Borrowings from RBI	Highlights deficit financing through money creation, which may lead to inflation.

Monetary Policy

Monetary policy refers to the actions taken by a central bank (like the Reserve Bank of India or the Federal Reserve in the US) to regulate the money supply, control inflation, and influence

interest rates in order to achieve macroeconomic objectives, including economic growth, full employment, and price stability.

Objectives of Monetary Policy:

- **Control Inflation:**
  - **Goal:** To prevent runaway inflation, which erodes purchasing power. By managing the money supply and interest rates, the central bank can stabilize prices.
  - **Example:** In periods of high inflation, the central bank might raise interest rates to reduce spending and borrowing.
- **Stabilize Currency:**
  - **Goal:** To keep the exchange rate of the country's currency stable in the global market. By controlling inflation and interest rates, the central bank ensures the currency retains its value.
  - **For example:** If inflation is too high, the central bank may increase interest rates, attracting foreign investment, which strengthens the currency.
- **Promote Employment:**
  - **Goal:** To create an environment conducive to economic growth, which in turn promotes job creation. By managing money supply and interest rates, the central bank ensures that businesses have the right conditions to expand and hire workers.
  - **Example:** In an economic downturn, the central bank may lower interest rates to encourage borrowing and investment, boosting employment.

Tools of Monetary Policy:

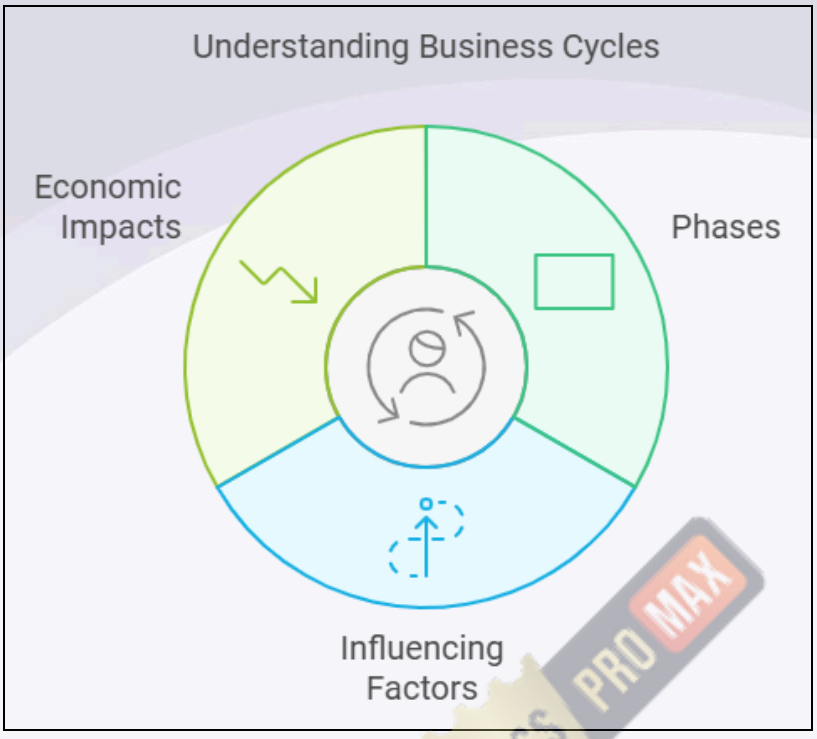
- **Open Market Operations (OMOs):**
  - The buying and selling of government securities (bonds) in the open market by the central bank to regulate the money supply.
  - **Impact:**
    - **Buying securities:** Increases the money supply by injecting funds into the banking system, lowering interest rates.
    - **Selling securities:** Reduces the money supply by pulling funds out of the banking system, and raising interest rates.
  - **Example:** The RBI may buy government bonds to inject liquidity into the banking

system, stimulating economic growth.

- **Discount Rate:**
  - The interest rate charged by a central bank to commercial banks for short-term loans.
  - **Impact:** By raising or lowering this rate, the central bank influences the cost of borrowing for commercial banks, which in turn affects the interest rates that consumers and businesses face.
    - **Raising the discount rate:** Makes borrowing more expensive, reducing the money supply and slowing inflation.
    - **Lowering the discount rate:** Makes borrowing cheaper, increasing the money supply and stimulating economic activity.
  - **Example:** If the RBI increases the discount rate, commercial banks may pass on higher borrowing costs to businesses and consumers, leading to reduced spending.
- **Reserve Requirements:**
  - **Definition:** The percentage of deposits that commercial banks must hold in reserve and not lend out.
  - **Impact:**
    - **Increasing reserve requirements:** Reduces the amount of money that banks can lend out, decreasing the money supply.
    - **Decreasing reserve requirements:** Increases the lending capacity of banks, expanding the money supply.
  - **Example:** If the RBI raises the reserve ratio, banks will have fewer funds to lend, which may cool down an overheating economy.

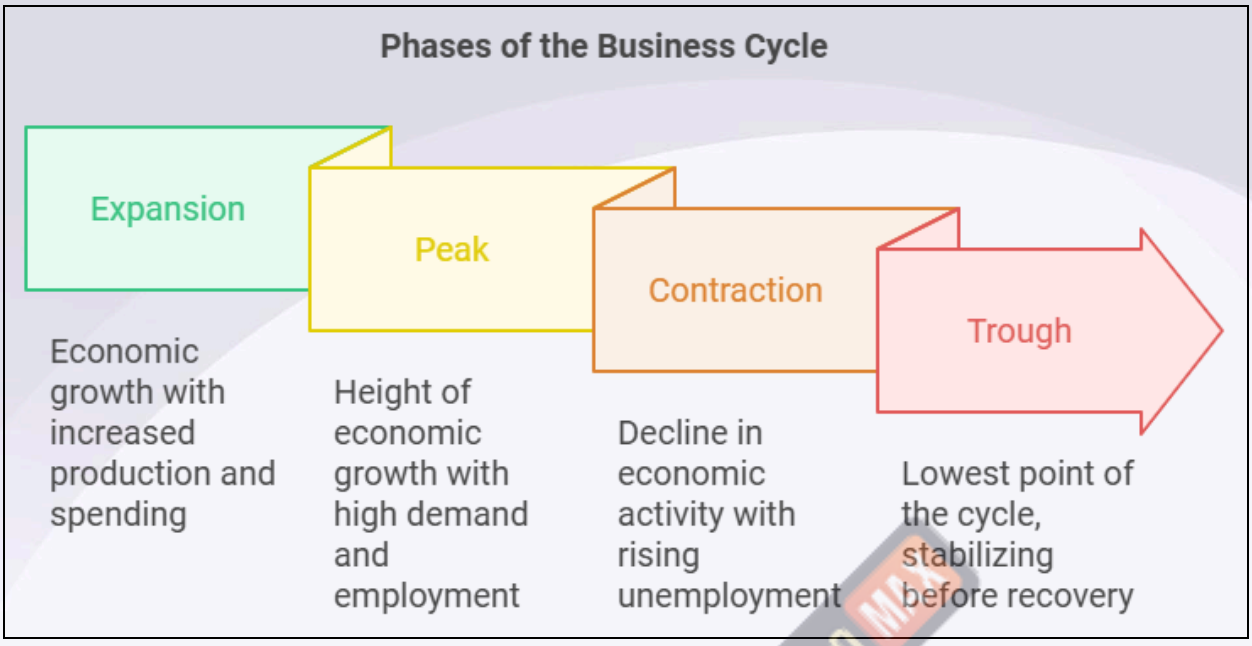
Business Cycle

- The concept of business cycles refers to the natural fluctuations in economic activity over time, marked by shifts in GDP, employment, and overall economic growth.



Phases of the Business Cycle

- **Expansion**: During expansion, the economy grows, leading to increased production, higher employment, and rising consumer spending. Businesses often invest in new projects and expansions, anticipating future demand.
- **Peak**: The peak represents the height of economic growth in the cycle. Here, demand is at its highest, often pushing prices up (potentially leading to inflation). Employment is also at a high point, but growth begins to slow.
- **Contraction (Recession)**: Contraction or recession is characterized by a decline in economic activity. Production slows, unemployment rises, and consumer spending falls. Businesses may cut back on investments, and confidence in the economy decreases.
- **Trough**: The trough marks the lowest point of the cycle, where economic activity stabilizes. From here, the economy can begin to recover, potentially leading into a new expansion phase.



Economic Growth

Economic growth refers to the increase in the production of goods and services in an economy over a period of time. It is typically measured by changes in the Gross Domestic Product (GDP), which reflects the total economic output and is often used to gauge the economic health of a country.

Factors Influencing Economic Growth:

- **Capital Accumulation**: Investments in physical capital, like machinery, infrastructure, and technology, boost production capacity and productivity.
- **Technological Advancement**: Innovations and technological improvements drive efficiency, allowing more output with the same or fewer inputs.
- **Labour Force Growth**: An increase in the working population, particularly skilled labour, can enhance productive capacity and economic output.

Sustainable Growth: Sustainable economic growth focuses on achieving steady, long-term progress without depleting natural resources or causing environmental damage. Sustainable practices aim to maintain growth without triggering excessive inflation, ensuring resources are available for future generations.